

The Operating Systems for Earth and Beyond: Why Tesla and SpaceX Belong in the Same Conversation

The stock market is not an equal-opportunity wealth machine. It is an extreme-outcome machine. Hendrik Bessembinder's 100-year study shows that just 46 firms accounted for half of the roughly \$91 trillion in net shareholder wealth creation since 1926. The biggest fortunes aren't built by owning many average businesses. They're built by identifying the rare companies that become operating systems for entire domains.

The Operating Systems for Earth and Beyond

Why a Tiny Handful of Companies Create Almost All Market Wealth — and Why Tesla and SpaceX Belong in the Conversation

There is a brutal truth at the center of equity investing that most investors still do not fully internalize:

The stock market is not an equal-opportunity wealth machine.

It is an extreme-outcome machine.

That is not philosophy. It is data.

Hendrik Bessembinder's updated 100-year study covering 29,754 U.S. common stocks from 1926 through 2025 finds that just **46 firms accounted for half of the roughly \$91 trillion in net shareholder wealth creation** over that century. 1,082 firms — about 3.7% of all listed stocks — generated all of the net gains, while the remaining 96% collectively matched Treasury bill returns.

That is the right place to begin this report, because it changes the entire way investors should think about "diversification," "safety," and "the future."

The biggest fortunes in public markets are not built by owning lots of average businesses.

They are built by owning a very small number of companies that become so central to the economy that they stop looking like companies and start looking like **operating systems**.

Our central argument is this:

> **Tesla and SpaceX deserve to be analyzed not as a car company and a rocket company, but as candidate operating systems for two enormous domains: life on Earth, and economic activity beyond it.**

That is not a forecast of certainty. It is a framework.

And in a market where wealth is increasingly concentrated in a shrinking set of dominant platforms, frameworks like this matter more than traditional sector labels.

1. The 1% Truth: Markets Are Driven by Outliers, Not Averages

The 100-year market record is more concentrated than most investors realize.

Bessembinder's latest draft suggests the concentration of wealth creation has intensified sharply: in the earlier 1926–2016 version of the work, 89 firms accounted for half of net wealth creation; in the updated 1926–2025 century-long draft, that number falls to 46.

In other words, the market's biggest winners are not only rare. **They are becoming rarer relative to total market wealth creation.**

That matters because it collides with a comforting but misleading belief many investors hold: that long-term wealth creation is broadly distributed across many "good" companies.

It is not.

The historical record says something much harsher:

- Most listed stocks are, in the long run, mediocre
- A minority outperform Treasury bills
- A tiny fraction carry the market

For American investors, that leads to a difficult but necessary conclusion:

> **You do not beat the market by merely avoiding losers. You beat it by correctly identifying the rare firms that can absorb entire sectors, entire profit pools, and eventually entire categories of economic behavior.**

That is the real backdrop for any serious discussion of Tesla and SpaceX.

2. Why AI Is Accelerating the Concentration of Wealth

The concentration trend is not happening by accident.

AI is one of the forces making it worse — or better, depending on where you stand.

The reason is simple. Modern platform companies scale faster, gather more data, reinforce stronger network effects, and spend at a level smaller rivals cannot match. In AI, that is becoming even more pronounced because the required capital, energy, compute, and talent have all become more concentrated.

The result is that market leadership compounds on itself.

The leaders do not merely stay ahead. They widen the gap faster than previous generations of industrial champions could.

This is why the Bessembinder result should not be read as a historical curiosity.

It should be read as a warning.

In a world where AI, energy systems, autonomy, robotics, communications, and infrastructure increasingly converge, **the next decade may produce fewer true wealth creators, not more.**

That is the environment in which "OS companies" become the right lens.

3. Tesla: The Operating System for Earth

Calling Tesla a car company is now analytically insufficient.

Tesla's own investor materials describe the company as an energy and AI-driven industrial platform whose mission is to accelerate the world's transition to sustainable energy. The firm now spans EVs, battery storage, autonomy, software, robotics, charging infrastructure, and energy systems.

In its first-quarter 2026 release, Tesla reported over 358,000 vehicle deliveries and 8.8 GWh of energy storage deployments in the quarter, underscoring that its value proposition already extends beyond automobiles.

That alone does not make Tesla an operating system.

Many firms are diversified. Tesla is more interesting because **its businesses reinforce one another.**

- Its vehicles generate driving data
- Its software stack sits on top of those vehicles
- Its autonomy ambitions depend on scaling that data advantage
- Its energy business expands its relevance from transport to power infrastructure
- Its robotics push suggests management believes the same AI stack can eventually move beyond the car entirely

Recent reporting around Tesla's Shanghai operations even tied the site's role not only to EV output but to scaling humanoid robot manufacturing and energy-storage systems.

This is why the "Operating System for Earth" framing is powerful.

Tesla is trying to become a common layer across transportation, energy, automation, and machine intelligence in the physical world.

That does not mean it succeeds.

It means the upside case is much larger than auto volumes.

The most important part of that case is **data compounding**.

Capital compounds when it is reinvested intelligently. Tesla's bet is that real-world machine data compounds the same way: more vehicles, more miles, more edge cases, more training, better autonomy, more usage, more data again.

That is the real Tesla bull case. Not "cars." Not even "AI."

It is this:

> **If autonomy reaches real tipping-point economics, Tesla becomes a control layer for movement on Earth.**

And companies that control movement do not get valued like manufacturers forever.

4. SpaceX: The Operating System for Activity Beyond Earth

If Tesla is the candidate operating system for physical life on Earth, SpaceX is the candidate operating system for **the layer above it**.

Recent reporting indicates SpaceX has confidentially filed for an IPO and could be on track for a June 2026 listing, with Bloomberg reporting the company could seek a valuation of more than \$1.75 trillion.

That would make it one of the largest listings in history if completed.

Importantly, that is a reported filing status and target range — not a completed public transaction.

The core point is not the IPO itself. It is **what investors would be getting exposure to**.

SpaceX is no longer just a launch company. It is increasingly a hybrid of launch utility, orbital logistics platform, and communications network through Starlink.

BryceTech's 2025 review found that SpaceX completed 165 orbital launches in 2025, or nearly 51% of all global launches, and launched 85% of all satellites that year.

That is not ordinary market leadership.

That is **infrastructure dominance**.

This is why the "Operating System for Off-Earth Activity" framing matters. Any serious future in orbital communications, in-space manufacturing, off-Earth data infrastructure, or broader space commerce will require three things:

- Cheap access

- Regular access
- A functioning communications backbone

SpaceX already dominates two of those and is building the third. Public satellite trackers now show over 10,000 Starlink satellites in orbit, illustrating the sheer density of the company's orbital footprint.

In that sense, SpaceX is not just selling launch services.

It is laying the default rails for future economic activity in orbit.

And just as with Tesla, the real investment insight is not product identity.

It is **chokepoint control**.

> A company that controls a chokepoint often captures outsized economics not because it wins every downstream market, but because **downstream markets must route through it**.

5. Why Tesla and SpaceX Belong in the Same Report

The most important commonality between Tesla and SpaceX is not Elon Musk.

It is that both companies are built around the same strategic architecture:

- Own the hard infrastructure
- Gather proprietary real-world data
- Lower system costs through scale
- Use software and AI to improve economics over time
- Turn physical systems into platform systems
- Widen total addressable market by redefining the category itself

Tesla is trying to do that in transportation, energy, autonomy, and robotics.

SpaceX is trying to do that in launch, communications, and orbital infrastructure.

That is why both belong in a report about wealth concentration.

When Bessembinder's data tell us that only a microscopic fraction of firms create most shareholder wealth, the rational next question is not "Which sector will do well?"

It is:

> **Which companies are becoming so central to future economic activity that they can absorb multiple sectors into one platform?**

Tesla and SpaceX are not guaranteed answers.

But they are among the most serious candidates.

6. The Merger Hypothesis: Interesting, But Still Speculative

The idea of a Tesla-SpaceX merger or some form of strategic convergence deserves discussion — but it must be framed correctly.

As of now, there is no completed Tesla-SpaceX merger, and investors should treat any such scenario as a speculative thesis rather than an established plan.

Barron's and other recent commentaries have discussed the possibility that a SpaceX IPO could eventually raise questions about broader Musk-company convergence, but that remains scenario analysis, not fact.

That said, the reason the idea keeps resurfacing is not irrational.

It reflects a real strategic intuition: both Tesla and SpaceX are increasingly difficult to understand in isolation.

- Tesla's autonomy and robotics ambitions intersect with AI and infrastructure
- SpaceX's communications and deployment capabilities intersect with energy, data, and future physical networks

Investors are right to suspect that the Musk ecosystem is **more integrated conceptually than traditional equity analysis allows**.

The right conclusion is not "a merger is coming."

The right conclusion is:

> **The market may increasingly price these firms as parts of a broader industrial-intelligence ecosystem, whether or not they ever formally combine.**

That alone is enough to matter.

7. What U.S. Investors Should Do with This Framework

The biggest lesson from the last century is not to blindly concentrate into charismatic names.

It is to understand that **extreme wealth creation comes from extreme business outcomes**, and extreme business outcomes increasingly come from firms that become platforms rather than products.

That means American investors should ask harder questions:

- Which companies are creating a new operating layer rather than selling a single product?
- Which firms convert data, capital, software, and infrastructure into compounding advantages?
- Which businesses are expanding their TAM not by launching adjacent products, but by redefining entire systems?

- Which companies can plausibly become so central that customers, industries, or governments organize around them?

Through that lens, Tesla and SpaceX matter because they are not simple theme stocks.

They are candidates for **system-level relevance**.

That does not mean investors should suspend valuation discipline.

It means they should stop using legacy labels that understate what these firms are trying to become.

8. Final Verdict

The 100-year market record says that only a tiny number of companies matter as much as investors think most companies do.

The rest are noise, dead money, or temporary stories.

The great fortunes come from identifying the rare companies that stop behaving like businesses and start behaving like **infrastructure**.

Tesla's strongest long-term case is that it becomes the software-and-data control layer for movement, energy, and automation on Earth.

SpaceX's strongest long-term case is that it becomes the physical-and-communications control layer for economic activity beyond Earth.

That may sound grand. Good.

The most consequential wealth creators usually do — before the numbers fully catch up.

Final Line

In the next great phase of U.S. wealth creation, the biggest winners may not be the companies that make the best products.

They may be the companies that become **the operating systems for entire domains of human activity**.

This Special Report is Part 2 of Brutal Edge's "Musk Empire" series. Related analysis: The Coronation of Elon Musk — SpaceX IPO (Part 1), The Two Pillars of Future Capitalism — Musk + Anthropic (Part 3 — synthesis).
